

PART A - GENERAL RULES APPLICABLE TO TRADING PARTICIPANTS

SECTION 1

GENERAL

1.1 INTRODUCTION

The CSE was incorporated on 2nd of December 1985 as a Company Limited by Guarantee under the Companies Act No. 17 of 1982.

The CSE is a Market Institution as defined in the SEC Act and licensed as a Stock Exchange by the SEC in terms of the said Act.

These Rules may be cited as the Trading Participants Rules of the CSE and shall come into force on the 1st April 2023.

1.2 APPLICATION OF THE RULES

- (1) These Rules shall:
 - (a) be applicable to Trading Participants of the CSE, licensed by the SEC to operate as Stockbrokers and/or Stock dealers; and,
 - (b) operate as a binding contract between CSE and each Trading Participant, and between the Trading Participants of the CSE.
- (2) Trading Participants shall ensure that all their directors, employees and agents comply with these Rules and shall be held liable for their acts and omissions in the event they violate these Rules.
- (3) Notwithstanding anything to the contrary, if the business operations of a Trading Participant are voluntarily inactivated by such Trading Participant in accordance with Section 15 of Part B of these Rules, such Trading Participant shall be required to comply with these Rules only to the extent stipulated in the said section during the period of inactivation.

1.3 FAILURE OR DELAY TO NOT BE DEEMED A WAIVER

No failure or delay by the CSE to exercise or enforce any rights conferred upon it by these Rules shall be deemed to be a waiver of any such rights or operate so as to bar the exercise or enforcement thereof at any subsequent time or times.

1.4 CIRCULARS AND OPERATIONAL GUIDELINES/ PROCEDURES

The CSE may, from time to time, issue in writing to Trading Participants:

- (1) circulars to supplement or explain these Rules; and
- (2) operational guidelines and procedures for administrative purposes.

Public

Circulars, operational guidelines and procedures issued by the CSE may be unilaterally issued, amended or revoked by the CSE and shall be effective on such date as specified by the CSE.

1.5 LIMITATION OF LIABILITY

The CSE, its successors and/or assignees, or its directors and employees shall not be liable to Trading Participants or its Agents for any loss or damage (including consequential or indirect loss or damage), however caused or arising, including but not limited to any loss or damage arising directly or indirectly from or in connection with the following:

- (1) any failure, error, delay, security breach or malfunction of the trading facilities operated by the CSE howsoever caused other than due to the negligence on the part of the CSE;
- (2) the access to, use of or inability to use the trading facilities operated by the CSE;
- (3) anything done (including any statement made) or omitted to be done in the course of, or in connection with the exercise of powers or duties or the discharge of the CSE's obligations under the Securities and Exchange Commission of Sri Lanka Act No.19 of 2021, any rules issued thereunder, the rules of the CSE or any other applicable law;
- (4) any breach or failure of any Trading Participant to comply with these Rules;
- (5) the insolvency or the acts or omissions of any of the Trading Participant;
- (6) the acts or omission of the CSE other than those acts or omissions caused due to the negligence of the CSE;
- (7) any failure, security breach, inoperability or malfunction of equipment, software or any other systems of a Trading Participant howsoever caused, or in respect of its installation, maintenance or removal;
- (8) the exercise of a decision-making or regulatory power or discretion under these Rules;
- (9) any virus or other destructive, malicious, or corrupting program, code, agent, script or macro;
- (10) the originality, accuracy, adequacy, timeliness or completeness of the settlement system or any content, information, materials, images, sounds, graphics, video and other materials displayed therein or any functionalities or applications, programs or services provided therein;
- (11) any information transmitted or received by or on behalf of the CSE or a Trading Participant including through the trading system/s, or the interception of or access to such information by unauthorized persons.

1.6 DISCLOSURE OF INFORMATION BY THE CSE

The CSE is permitted to disclose information pertaining to a Trading Participant or a Client of such Trading Participant under the following circumstances:

- (1) where the CSE is directed to do so by the SEC in terms of the SEC Act;
- (2) where the CSE is required by any law of Sri Lanka to make such disclosure;
- (3) to the CDS and/or CSE Clear, where the CSE is of the view that disclosure of such information is required to carry out the functions of the CDS and/or CSE Clear;
- (4) to a Company Secretary of a Listed Entity, when he/she requires any information of an investor who has invested in Securities of such Company.

1.7 REQUIREMENT TO CARRY OUT THE CLEARING AND SETTLEMENT FUNCTION OF SECURITIES

Trading Participants shall, in addition to the trading function, carry out functions pertaining to clearing and settlement of securities in terms of the CSE Clear Rules.